

**BEFORE THE DISTRICT CONSUMER DISPUTES REDRESSAL COMMISSION
AT MUMBAI SUBURBAN, MAHARASHTRA**

Consumer Complaint No.: CC/204/2024

Date of Filing: 29.05.2024

Date of Order: 07.12.2025

Date of Hearing: 20.11.2025

CORAM:

Smt. R. Joshi-Patil, M.A., LL.M., President

Sri. A. Khandekar, M.Com., LL.B., Member

Sneha Iyer, D/o V. Subramaniam

B-1402, Lokhandwala Heights, Andheri West,

Mumbai - 400053, Maharashtra.

...Complainant

Versus

1. Apex National Bank Limited, Andheri West Branch

Apex Bank Building, S.V. Road, Andheri West,

Mumbai - 400058, Maharashtra.

Represented by its Branch Manager.

...Opposite Parties

ORDER

Per Smt. R. Joshi-Patil, President:

1. Brief Facts of the Case

The complainant holds Savings Bank Account No. 34028816745 with the Opposite Party. On 18.03.2024, between 02:14 AM and 02:23 AM, four unauthorized transactions totalling Rs. 1,45,500/- were debited from the complainant's account via UPI to various unknown beneficiaries.

The complainant became aware of these transactions at 8:30 AM on 18.03.2024 upon reviewing SMS alerts and immediately contacted the Opposite Party's customer care, lodging a complaint with reference number APX-FRD-887621. She also filed a First Information Report at the Andheri Cyber Crime Cell on the same day (FIR No. 089/2024).

The complainant submitted a written complaint to the Branch Manager on 19.03.2024 requesting reversal of the unauthorized transactions in accordance with the Reserve Bank of India's circular on Limiting Liability of Customers in Unauthorized Electronic Banking Transactions (DBR.No.Leg.BC.78/09.07.005/2017-18 dated 06.07.2017).

The Opposite Party, vide letter dated 28.04.2024, declined to reverse the transactions, stating that the OTPs used for the said transactions had been delivered to the complainant's registered mobile number and that the bank could not be held responsible for compromise of OTPs by the customer.

2. Contentions of the Complainant

The complainant categorically denies having shared her OTPs or banking credentials with any third party. Examination of her mobile phone records (Ex. P-1) shows that no OTP SMSs were received at the

times of the disputed transactions.

Investigation by the Cyber Crime Cell (preliminary report attached as Ex. P-2) indicates a likely SIM-swap fraud, where her mobile number was temporarily ported to a SIM in the fraudster's possession. The mobile service provider (Vodafone Idea) has confirmed via written response dated 14.04.2024 that a SIM swap request was processed on 17.03.2024 evening (Ex. P-3).

Under the RBI's circular dated 06.07.2017, where the unauthorized transaction has occurred due to a third-party breach where the deficiency lies neither with the bank nor with the customer, but lies elsewhere in the system, and the customer notifies the bank within three working days, the customer's liability is zero.

3. Reply of the Opposite Parties

The Opposite Party reiterated its position that the transactions were OTP-authenticated and that responsibility for OTP safekeeping lies with the customer.

The Opposite Party has not addressed the SIM-swap aspect raised by the complainant and has not produced any forensic analysis of the transactions or the IP addresses from which they were initiated.

4. Issues for Determination

- (a) Whether the disputed transactions were unauthorized transactions within the meaning of the RBI's circular dated 06.07.2017?
- (b) Whether the complainant notified the Opposite Party within the prescribed time?
- (c) Whether the Opposite Party's refusal to reverse the transactions amounts to deficiency in service?

5. Findings and Reasoning

The Reserve Bank of India's circular on Limiting Liability is binding on all scheduled commercial banks and operates as the controlling framework for unauthorized transaction disputes. The circular places clear obligations on banks including mandatory zero-liability scenarios.

The evidence on record, particularly the written confirmation from the mobile service provider regarding the SIM swap on 17.03.2024 evening and the cyber crime investigation report, establishes that the disputed transactions occurred due to a SIM-swap fraud — a system-level vulnerability that lies outside the customer's control. This squarely falls within the zero-liability scenario contemplated by the RBI circular.

The complainant notified the bank on 18.03.2024 itself, well within the three working day window. The Opposite Party's refusal to reverse the transactions, and its failure to even investigate the SIM-swap aspect, constitutes a serious deficiency in service.

6. Order

The Commission holds the Opposite Party guilty of deficiency in service for failing to reverse unauthorized transactions in accordance with the binding RBI framework.

In view of the foregoing, the Commission hereby directs:

- (a)** The Opposite Party shall credit the complainant's account with Rs. 1,45,500/- (Rupees One Lakh Forty-Five Thousand Five Hundred only) being the amount of unauthorized transactions, within 15 days of this order.
- (b)** The Opposite Party shall pay simple interest at 9% per annum on the said amount from 18.03.2024 (date of unauthorized debit) until the date of credit reversal.

(c) The Opposite Party shall pay compensation of Rs. 75,000/- (Rupees Seventy-Five Thousand only) for the mental agony, financial hardship, and deficient service.

(d) The Opposite Party is further directed to issue a written apology to the complainant and to put in place adequate procedures for promptly investigating SIM-swap related fraud claims in future.

The complaint is accordingly **allowed** with the above directions. Compliance to be reported within the time stipulated. Costs of Rs. 7,500/- are also awarded to the complainant.

(Smt. R. Joshi-Patil)

(Sri. A. Khandekar)

Place: Mumbai

Date: 07.12.2025

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